

SUMMARY REPORT - ONE PAGE

OVERVIEW

CA Parvesh Aghi Research Findings | May 2026

1 INDIA INC. Q4 FY26 EARNINGS

DATA: 1,264 of 4,976 companies reported (May 16, 2026)

HEADLINE: **Mid-Cap Net Profit Growth: +35.38% YoY**

KEY STAT: **3.5x faster than Nifty 50 (+5.59%)**

BROADER PICTURE: Aggregate NP +20.20% (745 companies positive = 60% broad-based)

MARGIN SIGNAL: Mid-cap GP +20.65% vs Revenue +10.66% = Real operating leverage, not just volume

SECTOR WINNERS: Retailing +979% | Pharma +87.7% | FMCG +16-37% | Banking +9.3% ---

2 DEFERRED TAX — VALUATION IMPACT

CRITICAL FINDING — Reliance FY 2023-24:

Current Tax Rate: **19.3%** (WRONG for valuations)

Deferred Tax: +4.9% (₹5,090 Cr)

CORRECT Effective Tax Rate: **24.6%**

IMPACT: Using 19.3% overstates intrinsic value by ~5-7% for capital-intensive companies

INVESTOR LESSON: • Use Effective Tax Rate (Current + Deferred) ÷ PBT for all DCF valuations • Monitor DTL reversals in free cash flow projections • Watch for volatile DTA (sign of aggressive accounting) ---

3 EQUITY MUTUAL FUND ANALYSIS

Category	Best Fund	10Y CAGR	Action
Large-Cap	Nippon India Large Cap	15.74%	Hold
Mid-Cap ★	ICICI Pru MidCap	18.58%	INCREASE SIP
Small-Cap ★★	Nippon India Small Cap	21.90%	SIP only, 5-7 yr

RECOMMENDED ALLOCATION: Large-Cap 40% | Mid-Cap 40% | Small-Cap 20% ---

4 SYNTHESIS — WHAT TO DO NOW

THREE SIGNALS CONVERGING:

- ✓ Mid-cap profits accelerating with margin expansion
- ✓ Large-cap deferred taxes will reduce future cash flows
- ✓ Mid-cap funds delivering best risk-adjusted returns

ACTION: Rotate to mid-cap exposure via ICICI Pru MidCap or Nippon India Growth Mid Cap using SIP discipline

5 IMMEDIATE ACTION CHECKLIST

THIS MONTH: • Review large-cap holdings for deferred tax liability • Increase SIP to mid-cap funds • Read Deferred Tax guide if you own capital-intensive stocks **NEXT 3 MONTHS:** • Monitor Q4 earnings trends in your portfolio • Reassess allocation using suggested models • Track macro: RBI rates, FII flows, govt CapEx **6-12 MONTHS:** • Build small-cap via Nippon India Small Cap (SIP) • Use deferred tax analysis for all valuations going forward ---

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For detailed analysis, download full reports: [Q4 Earnings](#) | [Deferred Tax \(v1 & v2\)](#) | [Equity MF Analysis](#) | [Intrinsic Value Calculator](#)